AFRICAN BANKING CORPORATION OF ZIMBABWE LIMITED
versus
WILLEDIT INVESTMENTS (PRIVATE) LIMITED
t/a KNOWSTICS ACADEMY
and
WILLIAM MUKUWAPASI
and
EDITH MUKUWAPASI

HIGH COURT OF ZIMBABWE
MUSHURE J
HARARE, 23 October & 13 November 2025



Application for summary judgment

M. Moyo for the plaintiff
P. E. Chivenge for the defendants

MUSHURE J:

BACKGROUND

[1] This is an application for summary judgment following the first defendant's failure to repay loans advanced to it by the plaintiff. The parties will be referred to as cited in the main action for consistency.

[2] On 25 July 2025, the plaintiff issued a summons, claiming

a. Payment in the sum of US$303 258.14, being an outstanding balance, interest and charges arising from a term loan agreement concluded by the plaintiff and the first defendant on or around 3 November 2022, with the second and third defendants standing in as sureties and co-principal debtors with the first defendant.
b. Interest on the sum of US$303 258.14 calculated at the rate of 22% per annum from the date of summons to the date of full payment.
c. Payment in the sum of ZWG2 715.56 being an outstanding balance, interest and charges arising from a term loan agreement concluded by plaintiff and the first defendant on 4 December 2019, with the second and third defendants standing in as sureties and co-principal debtors with the first defendant.

d. Interest on the sum of ZWG2 715.56 calculated at the rate of 60% per annum from the date of summons to the date of full payment.

e. An order declaring the following immovable and movable properties to be specially executable: -

i. A certain piece of land situate in the district of Inyanga called Lot 1 of Plot 29 of Nyamazi measuring 200,0017 hectares held under Deed of Transfer number 531/19 dated 4 February 2019;

ii. A certain piece of land situate in the district of Umtali called Stand 9523 of Dangamvura Township of Dangamvura measuring 4000 square metres held under Deed of Transfer number 4837/15 dated 4 November 2015;

iii. A certain piece of land situate in the district of Inyanga called Lot 26A of Nyamazi measuring 90,0033 hectares held under Deed of Transfer number 4774.19 dated 23 August 2019;

iv. Science Laboratory Equipment; and

v. Centre Pivot Komit Sprinkler.

HIGH COURT OF ZIMBABWE
Commercial Division
ISSUED
13 Nov 2025
HARARE
JUDICIAL SERVICE COMMISSION

[3] In its declaration, the plaintiff alleged that on or around 24 October 2022, the plaintiff and the first defendant concluded a term loan agreement in terms of which the plaintiff would lend the first defendant the sum of US$467 500 in either USD or equivalent ZWG at the prevailing interbank rate.

[4] The plaintiff further alleged that, in terms of that agreement, the capital sum would bear interest at the variable base rate of 10% per annum, calculated and charged from time to time by the plaintiff to its customers, which rate was subsequently varied and currently sits at 60% per annum, plus a margin of 2% per annum. Secondly, the first defendant would bear a penalty interest rate of 5% per annum on all amounts not paid on the due date from the due date until the same was paid over and above the interest rate mentioned above. Thirdly, the first defendant would repay the capital sum and accrued interest in cash or electronic transfer in six equal termly installments, payable in USD on or before the last day of the opening month of each term into a bank account nominated by the plaintiff. Further, all repayments made by the first defendant would be applied to the settlement of default interest, settlement of current interest, settlement of bank charges and expenses, reduction or clearance of the capital amount, and settlement of legal costs, if any, respectively. If the first defendant committed

any default, including failure to effect loan repayments on the agreed dates and failure to remedy such breach within fourteen days upon being given written notice to do so, any outstanding balance due to the plaintiff, interest and other amounts would become immediately due and payable. It was also agreed that should the plaintiff institute legal proceedings against the first defendant arising from breach of the loan agreement or for recovery of any amounts owing by the first defendant to the plaintiff, the first defendant would be liable to pay all legal costs incurred by the plaintiff, including costs and disbursements on a legal practitioner and client scale and collection commission.

HIGH COURT OF ZIMBABWE
Commercial Division
ISSUED
13 Nov 2025
HARARE
JUDICIAL SERVICE COMMISSION

[5] The plaintiff further alleged that the loan was securitised by the properties listed in paragraph 2e (i) to e (v) above. The plaintiff registered mortgage bonds over these properties. Further, the second and third defendants guaranteed repayment of all sums advanced to the first defendant by the plaintiff and bound themselves to the plaintiff as sureties and co-principal debtors with the first defendant.

[6] Pursuant to this agreement, the plaintiff alleged, it had advanced to the first defendant the loan in tranches of US$154 740.91, US$148 932.17, and US$127 071.05, respectively, on 23 November 2022, 19 December 2022 and 18 January 2023.

[7] The plaintiff alleged, further, that despite demand, the first defendant remained in default of a total of US$303 258.14 broken down as US$221 874.88 being the capital loan amount; interest in the sum of US$77 396.06 and bank charges amounting to US$3 987.20.

[8] On the outstanding local currency loan, it was the plaintiff's allegation that sometime in December 2019, it had concluded another term loan agreement with the first defendant wherein the plaintiff would advance to the defendant a term loan facility in the sum of RTGS11 000 000. In terms of that loan agreement,

i. the total amount of the first defendant's indebtedness to the plaintiff including interest, would be capitalized;

ii. interest would accrue on the capital sum at the variable base rate interest of 30% per annum, which rate was subsequently varied and currently sits at 60% per annum, plus a margin of 1% per annum;

iii. all amounts not paid on due date would bear a penalty interest from the due date until same was paid, at 5% per annum over and above the interest rate mentioned above.

iv. first defendant would repay the capital sum and accrued interest by direct electronic transfer in fifteen (15) equal and succeeding termly instalments on or before the last day of each term, into a bank account nominated by the plaintiff.

HIGH COURT OF ZIMBABWE Commercial Division ISSUED 13 Nov 2025 HARARE JUDICIAL SERVICE COMMISSION

v. repayments made by the first defendant would be applied to settlement of default interest, settlement of current interest, settlement of bank charges and expenses, reduction or clearance of the capital amount and settlement of legal costs, if any, respectively;

vi. if the first defendant committed any event of default, which included, among other things, failure to effect payment of any amount owing to the plaintiff, and fails to remedy such default /breach within fourteen days of being given written notice by the plaintiff to remedy such breach, any outstanding balance due to the plaintiff, interest and other amounts would become immediately due and payable.

vii. should the plaintiff institute legal proceedings against the first defendant arising from breach of the loan agreement or for recovery of any amounts owing by the first defendant to the plaintiff, the first defendant would be liable to pay all legal costs incurred by the plaintiff including costs and disbursements on a legal practitioner and client scale and collection commission.

[9] As security for the due performance of its obligations in terms of the loan agreement, the first defendant tendered the immovable properties stated in paragraph 2 (e) (ii) and (iii) as collateral. The plaintiff registered mortgage bonds over these properties. In addition, the first defendant also pledged the Science Laboratory Equipment and Centre Pivot Komit Sprinkler as additional security for repayment of the loan.

[10] The plaintiff averred that pursuant to the loan agreement, it had cumulatively advanced RTGS, to the first defendant between December 2019 and June 2021. It averred that following the conversion of the RTGS liability to ZWG at the rate of ZWG1: ZWL 2498.7242, as at 24 June 2025, the first defendant owed the plaintiff ZWG2 715.56, comprising ZWG 2 107.62 capital loan amount and ZWG 607.94 interest.

[11] The plaintiff claimed that despite demand for repayment of the loan, the defendants were in default.

[12] The defendants entered an appearance to defend on 8 August 2025. In response to the summons, the defendants pleaded, in *limine*, that the claim for the local currency loan had prescribed, since the loan agreement had been concluded in or around December 2019. On the

merits, the defendants pleaded that the entire foreign currency loan was advanced to them using the prevailing currency at the time, which was ZWL, and not ZWG as alleged. The defendants pleaded, further, that the loan could only be repaid in the currency that was advanced to them, and to do otherwise would unjustly enrich the plaintiff. The defendants argued that the loan agreement could not be used to impoverish them.

HIGH COURT OF ZIMBABWE
ISSUED
13 Nov 2025
HARARE
JUDICIAL SERVICE COMMISSION

[13] The defendants argued, further, that they had unearthed a clandestine 'switch' of the loan from United States dollars to local currency, which the plaintiff then disbursed into the first defendant's account. They alleged that the alleged payment in United States dollars was a simulation or a phantom which the plaintiff had achieved through abusing a foreign currency account for one of the first defendant's subsidiaries, Knowz Wandaland Park, into which they purported to deposit the United States dollars loan, after which they would then 'switch' the same into local currency at the point of paying the loan to the first defendant.

[14] After the defendants discovered these underhand tactics, they had alerted the Reserve Bank of Zimbabwe and the Zimbabwe Anti-Corruption Commission through letters authored in January 2025.

[15] Concluding that the defendants did not have a *bona fide* defence to its claim but had entered appearance to defend solely to buy time and frustrate a legitimate claim, the applicant launched the current application for summary judgment.

[16] In its founding papers, the plaintiff made the following depositions- It confirmed concluding a loan agreement with the first defendant in terms of which the plaintiff would advance the loan in either United States dollars or the local currency equivalent at the prevailing bank rate. The loan had been disbursed in three tranches of US$154 740.91, US$148 932.17, and US$127 071.05 on 23 November 2022, 19 December 2022, and 18 January 2023, respectively, at the prevailing interbank rate. The first defendant was obliged to repay the loan plus interest in United States dollars and in six equal monthly instalments. In its plea, the first defendant did not take issue with the cumulative loan amount of US$303 258.14, but instead had taken issue with the currency of settlement of the debt. The loan was a United States dollar-denominated loan for which, by operation of the law, specifically statutory instrument 118A of 2022, the plaintiff was entitled to claim repayment in United States dollars. Nothing had ensued from reports to the Zimbabwe Anti-Corruption Commission and the Reserve Bank of Zimbabwe, even if more than six months had elapsed since the reports. The defendants had

HIGH COURT OF ZIMBABWE
Commercial Division
ISSUED
13 Nov 2025
HARARE
JUDICIAL SERVICE COMMISSION

no basis to complain about the currency of disbursement after they had accessed and utilised the loan in local currency without protest and knowing fully well it was not in United States dollars. Further, they had, in a letter dated 7 May 2025, acknowledged owing the plaintiff in the sum of US$253 000. It was the plaintiff's submission that the defendants were clearly approbating and reprobating; that the defendants had not reconciled their different positions and that such an approach was untenable.

[17] In relation to the local currency debt, the plaintiff averred that- the defendants did not deny being advanced the loan, they did not deny the balance of ZWG 2 715.56, but their only excuse was that the debt had prescribed. To this, the plaintiff asserted that the defendants had acknowledged the local currency debt in November 2023 in response to a demand for the repayment of that loan. In the response, the first defendant explained the arrears and undertook to regularise its account by 31 December 2023, but it had remained in default. The plaintiff made the point that the first defendant had tacitly acknowledged the local currency debt; therefore, the debt had not prescribed because the prescriptive period is calculated from 15 November 2023. The plaintiff asserted that it had an unassailable case for the relief sought, and its application fell squarely within the spirit of the rules of this Court. It argued that its application was meant to avoid the delay of a trial, which delay would prejudice it.

[18] The defendants opposed the application for summary judgment, arguing that the plaintiff had not made a case for the relief it was seeking. They argued, further, that they had a *bona fide* defence to the claim, that the plaintiff had not established that they did not have reasonable prospects of success, and that their defence was not merely to buy time, but it was based on substantial legal and factual grounds.

[19] The defendants contended that the plaintiff had informed them that it was facing foreign currency shortages and had proceeded to disburse the loan in local currency. They contended, further, that the plaintiff had exercised its option under the agreement to disburse the loan in local currency and that conduct demonstrated that the parties' common intention was for the loan to be disbursed and repaid in local currency. It was the defendants' argument that the plaintiff could not, after electing to perform the loan agreement in local currency, volte face and unilaterally change the currency of repayment to United States dollars.

[20] The defendants accused the plaintiff of engaging in a fraudulent scheme designed to prejudice the defendants and unjustly enrich the plaintiff by purporting to disburse the loan in United

States dollars when, in truth and actual fact, it was paid in local currency. They claimed that investigations were ongoing at the Reserve Bank of Zimbabwe and the Zimbabwe Anti-Corruption Commission. They claimed that the acknowledgement of debt was made under the mistaken belief that the debt was properly constituted. They claimed, further, that an acknowledgment of debt does not extinguish prescription. The defendants contended that at the trial, they would want the court to determine whether the loan was disbursed in United States dollars or local currency; whether the defendants are entitled to repay in the currency actually received; whether the plaintiff has been unjustly enriched; and the proper interpretation of the loan agreement terms. The defendants argued that these issues involved complex questions of fact and law, which required the leading of oral evidence to establish the full extent of the plaintiff's fraudulent conduct. Finally, they prayed for the dismissal of the application for summary judgment with costs.

HIGH COURT OF ZIMBABWE
Commercial Division
ISSUED
13 Nov 2025
HARARE
JUDICIAL SERVICE COMMISSION

ORAL SUBMISSIONS BY THE PARTIES

[21] At the hearing of the application, Mr *Moyo*, for the plaintiff, submitted that the plaintiff's claim was justifiable for three reasons. Firstly, that clauses 1.3. and 2 provided that the loan would be denominated in United States dollars; secondly, that Statutory Instrument 118A of 2022 entitled the plaintiff to claim repayment in United States dollars, and thirdly, that the parties were bound by the contract they signed. Further, Mr *Moyo* submitted, the first defendant had penned a letter to the plaintiff stating that it was facing financial difficulties but it intended to settle the debt by December 2023. The defendants could not, on the strength of this letter, argue that they did not owe the plaintiff in United States dollars. They were estopped from asserting that the loan should be repaid in local currency.

[22] Appearing for the defendants, Mr *Chivenge* submitted that the standard for summary judgment is not absolute. The defendants' defence did not need to be entirely conclusive, but a genuine defence would suffice. Mr *Chivenge* submitted that the loan agreement stated that the loan was in United States dollars, but the plaintiff had disbursed the loan in local currency, so it was only fair for the loan to be repaid in local currency. He asserted that the plaintiff had suggested in its summons that the loan was disbursed in United States dollars when in truth and actual fact, the loan had been disbursed in local currency. He insisted that when a loan is paid in local currency, it is illegal to claim payment in United States dollars. It was Mr

Chivenge's submission that the courts ought to intervene where the terms of the contract are unconscionable, unfair, and contrary to public policy. He argued that the common law position that agreements must be upheld is subject to constitutional control and in terms of s56 of the Constitution, every person had a right to be treated fairly. He cited the South African case of *Barend Petrus Barkhuizen* v *Ronald Stuart Napier* CCT 72/05 as authority for the proposition that constitutional law is above common law.

[23] Mr *Chivenge* submitted that in this case, the plaintiff had foreign currency but had transferred a local currency loan to the first defendant. He contended that this was a sign of fraud which remained unexplained. It was his submission that the issue of whether the loan agreement was fair or was unfair was an issue which required ventilation at trial. He dismissed the acknowledgment of debt as being an unequivocal admission of the debt, but a proposal for the restructuring of the said debt.

[24] During discourse with the court, Mr *Chivenge* accepted that the loan was denominated in United States dollars. He also confirmed the position of the law as provided in Statutory Instrument 118A of 2022 to the effect that a foreign currency-denominated loan must be repaid in foreign currency regardless of the terms under which the loan is advanced. He also accepted the position of the law that the courts do not rewrite contracts for parties.

ISSUE(S) FOR DETERMINATION

HIGH COURT OF ZIMBABWE
Commercial Division
ISSUED
13 Nov 2025
HARARE
JUDICIAL SERVICE COMMISSION

[25] The sole issue that falls for determination is whether or not the plaintiff has made out a case for the granting of summary judgment.

WHETHER OR NOT THE PLAINTIFF HAS MADE OUT A CASE FOR SUMMARY JUDGMENT

[26] Summary judgment is a procedure provided for in r11 of the High Court (Commercial Division) Rules, 2020 ('the Rules') and is specifically applicable in action proceedings. A plaintiff who has issued a summons against the defendant, and the defendant has entered an appearance to defend, may, within seven days from the date of service of the appearance to defend, make a court application for the Court to enter summary judgment for what is claimed in the summons and costs.

[27] Summary judgment is a relief that enables a plaintiff with a clear case to obtain swift enforcement of its claim against a defendant who has no *bona fide* defence against the claim. See r11 (2) of the Rules and *Zimplastics (Pvt) Ltd* v *Corbett* 2014 (1) ZLR 68 (H) at p.75F. Due to the drastic nature of the relief, it is a legal requirement that the plaintiff's claim must be clear and unassailable as set out in the summons and declaration, and verified in the founding affidavit. See the *Zimplastics* case *supra* at p. 75G.

HIGH COURT OF ZIMBABWE
Commercial Division
ISSUED
13 Nov 2025
HARARE
JUDICIAL SERVICE COMMISSION

[28] The founding affidavit must confirm the facts of the case, verify the cause of action and the amount claimed, if any, and contain an averment that the defendant has no *bona fide* defence and has entered appearance solely for purposes of delaying the finalisation of the matter. See r11 (2) of the Rules and *Chindori-Chininga* v *National Council for Negro Women* 2001 (2) ZLR 305 (H).

[29] It is now settled law that a defendant faced with an application for summary judgment must establish that it has a good *prima facie* defence. This has been interpreted by the courts to mean that the defendant must allege facts which, if it can succeed in establishing them at trial, would entitle it to succeed in its defence at the trial. All it is required to do is to show that there is a mere possibility of success, it has a plausible case; and there is a real possibility that an injustice may be done if summary judgment is granted. See *Jena* v *Nechipote* 1986 (1) ZLR 29 (S).

[30] The defendant's affidavit should not only disclose fully the nature and grounds of the defendant's defence and the material facts relied upon by the defendant, but it must show that the defendant has a genuine and sincere defence to the action. Put differently, the defence relied upon to resist the plaintiff's claim must set out the material facts on which that defence is based in a manner that is not inherently or seriously unconvincing. See the case of *Hales* v *Doverick Investments (Pvt) Ltd* 1998 (2) ZLR 235 (H) at p. 238G.

[31] Thus, if the defence is averred in a manner which appears in all the circumstances needlessly bald, vague, or sketchy, that will constitute material for the court to consider in relation to the requirement of *bona fides*. A defendant must take the court into its confidence and provide sufficient information to enable the court to assess its defence. A defendant must not content itself with vague generalities and conclusory allegations not substantiated by solid facts. The case of *Kingstons Ltd* v *L D Ineson (Pvt) Ltd* 2006 (1) ZLR 451 (S) at p. 457 G-H illustrates the necessity of this.

ANALYSIS

HIGH COURT OF ZIMBABWE
Commercial Division
ISSUED
13 Nov 2025
HARARE
JUDICIAL SERVICE COMMISSION

[32] The defendants before me do not dispute that the first defendant owes the plaintiff. They also do not dispute that at the time the first defendant obtained the two loans, it entered into loan agreements with the plaintiff. The defendants never disputed that the first loan agreement was in local currency. The argument before me is that, in respect of the local currency-denominated loan, the debt has prescribed. For the United States dollar-denominated loan, the defendants argued, in their opposing papers, that the minute the plaintiff disbursed the loan in local currency, it elected to receive repayment in local currency. They argued that the plaintiff engaged in some unprofessional conduct through which it purported to disburse the loan in United States dollars, yet it paid out the same loan in local currency, so the currency of payment should be in local currency.

[33] At the hearing of the matter, Mr *Chivenge* sought, for the first time, to introduce an argument which carried connotations of constitutional infringements, although when I asked him if he was raising a constitutional issue on his feet, he was quick to submit that he was not. Upon pointing out the clear and unambiguous terms of the loan agreement and statutory instrument 118A of 2022, he then pointed out that the expectation for the defendants to repay the loan in foreign currency was unfair and without openly conceding that the defendants did not have a *bona fide* defence to the claim, he stated that he genuinely thought that the court would be interested in interrogating the fairness of the agreement between the parties.

[34] The crisp issue that arises from the defendant's papers and Mr *Chivenge*'s submissions is whether or not the defendant has a *bona fide* defence to the plaintiff's claim. I propose to dispose of this issue as follows.

[35] In their opposing papers, the defendants contend that the plaintiff's argument regarding the acknowledgement of the local currency debt is flawed, as same does not extinguish prescription. In their heads of argument, they then argue that the correspondence the plaintiff relies on as a tacit acknowledgement of debt 'does not contain a clear and unequivocal admission of this specific debt'. The defendants are not even concrete in their reasons for attacking the acknowledgement of debt.

[36] Section 18 of the Prescription Act [*Chapter 8:11*] provides that: -

> **"18 Prescription interrupted by acknowledgment of liability**
> (1) The running of prescription shall be interrupted by an express or tacit acknowledgment of liability by the debtor.
> (2) If the running of prescription is interrupted in terms of subsection (1), prescription shall commence to run afresh—

HIGH COURT OF ZIMBABWE
Commercial Division
ISSUED
13 Nov 2025
HARARE
JUDICIAL SERVICE COMMISSION

(*a*) from the date on which the interruption takes place; or
(*b*) if at the time of the interruption or at any time thereafter the parties postpone the due date of the debt, from the date upon which the debt again becomes due."

[37] Put differently, the running of prescription is interrupted by either an express or implied acknowledgment of liability by a debtor. In *casu*, a reading of the record will show that on 10 November 2023, the plaintiff issued a final demand for the repayment of all the loans advanced to the first defendant by the plaintiff. It related to both the local currency and the foreign currency loans. The letter recorded that the first defendant was in arrears and demanded immediate settlement of the arrears within seven days of the demand, failing which the necessary action would be taken against the first defendant. On 15 November 2023, the defendants responded to this letter by way of an email. In their response, the defendants stated that:

> "Knowstics Academy has not been able to make September 23 and October 23 payments towards its facility as per schedule.
> I am very sorry about this situation that that school finds itself in, at the moment. The school fell victim to armed robbery in July and lost valuables belonging to the school and to students. The school has not yet recovered financially from this.
> The school will therefore make payments in November and December 2023 when schools close for Term 3. The school will rectify this by 31 December 2023."
>
> Please accept the school's payment plan to normalise repayment plan for Knowstics Academy."

[38] In the first sentence of this letter, the first defendant acknowledges that it has not been able to repay the loan in terms of the expected schedule. It apologises for this situation. It proffers an explanation why it has failed to service the loan. It then concludes its letter by offering a revised payment plan and a prayer that the plan be accepted. Against the clear and unambiguous contents of the letter, I find it curious that the defendants still vehemently insist that they did not acknowledge this debt. Even if the letter does not expressly state that the first defendant is indebted to the plaintiff, that letter, by virtue of its contents, has all the hallmarks of a tacit acknowledgement that it owes the plaintiff money, it is in arrears, and is offering to make good on the arrears by proposing specific payment terms. This letter indeed acknowledged the first defendant's liability.

[39] Accepting as I must that the 15 November 2023 letter acknowledged the first defendant's liability towards the debt, then, in accordance with the provisions of s18 of the Prescription Act, that letter interrupted the running of prescription and prescription commenced to run anew on or about the 15th of November 2023.

[40] I therefore find that the local currency debt has not prescribed as contended by the defendants.

[41] It will be noted that the whole of the defendants' defence in relation to the local currency debt is anchored on their argument that the debt has prescribed. Once a finding is made that the debt has not prescribed, the defendants have not proffered any defence whatsoever to this claim. In the circumstances, it cannot be seriously argued that the defendants have a plausible defence to the plaintiff's claim such that the claim, to the extent that it relates to the local currency debt, ought to proceed to trial. There is nothing to refer to trial.

HIGH COURT OF ZIMBABWE
Commercial Division
ISSUED
13 Nov 2025
HARARE
JUDICIAL SERVICE COMMISSION

[42] In the circumstances, I find that the application for summary judgment in respect of the local currency debt is merited and ought to be granted.

[43] I turn now to consider the defendants' defence in relation to the foreign currency debt. Their first argument is that the loan was advanced to them in local currency, hence it ought to be paid in local currency. There is no need to reinvent the wheel because the answer lies in the loan agreement executed by the parties.

[44] Clause 2.2 of the loan agreement reads that: -

> "The borrower (the first defendant) requires a term loan facility from the bank (the plaintiff) for USD$467, 500 (Four Hundred and Sixty-Seven Thousand Five Hundred United States dollars only) **to be drawn in either USD or equivalent ZWL at the prevailing interbank rate**, expiring in 24 months from the date of drawdown." [Emphasis added]

[45] Contrary to the defendants' allegations that the plaintiff surreptitiously switched a foreign currency loan to a local currency loan, Clause 2.2 of the loan agreement clearly and unambiguously gave the plaintiff the option to disburse the loan in either United States dollars or local currency. Right beneath this clause, the second and third defendants, who were representing the first defendant, initialled this loan agreement. Not only that, at the hearing of the matter, Mr *Chivenge* conceded that the first defendant withdrew and utilised the loan in local currency. At the time, the defendants did not have any issues with this disbursement in local currency. If indeed the plaintiff had 'switched' the currency of the loan, surely, the defendants should have raised alarm at the point of withdrawing the loan. However, they were more than happy and ready to accept the local currency loan with the full 'knowledge' that it was supposed to be a foreign currency loan, only for them to turn around now and conveniently accuse the plaintiff of unethical conduct.

[46] The defendants have strenuously argued that since the loan was disbursed in local currency, the plaintiff impliedly elected to perform the loan agreement in local currency. Again, there is

HIGH COURT OF ZIMBABWE
Commercial Division
ISSUED
13 Nov 2025
HARARE
JUDICIAL SERVICE COMMISSION

need to resort to the loan agreement, which contains a specific provision in relation to this issue. Clause 4 of the loan agreement provides that:

> "Further, in terms of the loan facility, the borrower would repay the capital sum and accrued interest in cash or electronic transfer in six equal termly instalments, **payable in USD** on or before the last day of the opening month of each term into a bank account nominated by our client" [own emphasis].

[47] Clearly, it was a specific term of the loan agreement that the loan would be repaid in United States dollars. This is not something that was sprung up on the defendants. This is not something that the plaintiff sneaked in belatedly at the point of repayment. Rather, it is something the defendants knew from the date of signing the agreement. At the hearing of the matter, Mr *Chivenge* conceded that the defendants had serviced the same loan agreement up to such a time they failed to do so. He also conceded that the defendants had repaid the loan in United States dollars. There was no explanation why, if the currency of repayment was supposed to be in local currency, the defendants opted to repay the loan in foreign currency. I do not read this to have been an act of benevolence. Rather, it is because the defendants knew that the loan they had drawn in local currency was due to be repaid in United States dollars.

[48] I am fortified in this view by the evidence on record. On record is a letter dated 7 May 2025 addressed to the plaintiff's Head of Recoveries. In that letter, the first defendant's Chief Executive Officer makes a request for debt restructuring and takeover of another debt obligation, which the first defendant had with Getbucks. The first defendant writes:

> "We write to formally propose a restructuring of Knowstics Academy's debt obligations, specifically requesting BancABC Limited to take over the entire US$600,000 exposure owed to Getbucks Ltd, thereby consolidating Banc ABC's total exposure to US$853,000 (**comprising the existing US$253,000 owed directly to BancABC** and the US$600,000 to be assumed from Getbucks Ltd)" [Emphasis added]

[49] During the hearing of the matter, Mr *Chivenge* conceded that from the tenor of this letter, the first defendant confirmed the existence of a United States dollars debt. There is nothing to suggest that the loan was in local currency. No reason was given as to why the first defendant would make reference to the existing loan obligation in foreign currency terms if it was indeed a local currency loan. I can only conclude that this reference was not by coincidence- it speaks to the correct state of the loan which the defendants now seek to distance themselves from.

[50] Mr *Chivenge* has invited this court to find that it is unfair and against public policy for the plaintiff to demand payment in foreign currency in circumstances where it advanced a loan in local currency. However, his argument is without merit for two reasons. Firstly, at the time the

parties entered into the loan agreement, statutory instrument 118A of 2022 had amended paragraph 2 of the schedule to the Exchange Control Act [*Chapter 22:05*] to provide that:

> "3. The Schedule to the principal Act is amended in paragraph 2 ("Power of Reserve Bank to issue civil penalty order") by the insertion of the following subparagraph after subparagraph (9)—
>
> "(10) A natural or legal person who—
>
> (a) borrows foreign currency or receives credit denominated in any foreign currency from an authorised dealer or any other banking or financial institution registered or required to be registered under the Banking Act or the Microfinance Act [Chapter 24:30] must, notwithstanding the terms under which the loan or credit is advanced, repay the loan or credit in that foreign currency; or
>
> (b) being an authorised dealer or any other banking or financial institution registered or required to be registered under the Banking Act or the Microfinance Act [Chapter 24:30], lends foreign currency or advances credit denominated in any foreign currency to any other natural or legal person, must, notwithstanding the terms under which the loan or credit is advanced, receive repayment of the loan or credit in that foreign currency"

HIGH COURT OF ZIMBABWE
Commercial Division
ISSUED
13 Nov 2025
HARARE
JUDICIAL SERVICE COMMISSION

[51] I have earlier on alluded to Mr Chivenge's concession at the hearing of this matter that the loan was a United States dollar-denominated loan. By operation of the law, if the loan was a foreign currency-denominated loan, it follows that, notwithstanding the terms under which the loan was advanced, repayment of the loan is in foreign currency. From the evidence on record, the first defendant was aware of this, and it made the repayments it did in foreign currency.

[52] For the defendants to now turn around and start throwing all sorts of vitriol in the plaintiff's way is, in my view, the height of disingenuity. The defendants cannot argue that the plaintiff is seeking to be unjustly enriched in circumstances where the first defendant entered into the loan agreement with its eyes fully open, it withdrew and utilised the loan even if it was disbursed in local currency, started repaying the loan in foreign currency, and even acknowledged its indebtedness in foreign currency. Only when the first defendant started facing challenges in repaying the loan, did the defendants start questioning the terms of the agreement they had acquiesced to for more than a year, firstly, by reporting to the Reserve Bank of Zimbabwe and the Zimbabwe Anti-Corruption Commission, and secondly, raising spurious defences before this court.

[53] In my view, Mr *Chivenge*'s argument that the contract is unfair does not have merit. The case of *Magodora & Ors v Care International Zimbabwe* 2014 (1) ZLR 397 (S) is authority for the proposition that courts cannot rewrite valid contracts between the parties. Similarly, the court cannot read into the contract what is not there simply because the defendants have failed

to meet their side of the bargain, and they suddenly find the terms and conditions of the contract onerous.

HIGH COURT OF ZIMBABWE
Commercial Division
ISSUED
13 Nov 2025
HARARE
JUDICIAL SERVICE COMMISSION

[54] It was argued that the plaintiff, in its summons and declaration, had averred that it had advanced the loan in foreign currency, yet it had done so in local currency. For this reason, the defendants have suggested that this case must be referred to trial. The question that has exercised my mind is whether this matter should be allowed to proceed to trial for a determination of the currency in which the loan was disbursed. I think not. In reaching this conclusion, I am persuaded by the comments made by CHITAPI J in the case of *Stanbic Zimbabwe Ltd supra* at p.69H-70B that: -

> "It is important in my view that litigants appreciate that summary judgment procedure is in essence a tool of case management. If used effectively, the procedure discourages the prosecution of cases with little or no merit. In this regard I agree with the observations of LORD ROSKILL expressed in *Ashmore* v *Corporation of Lloyds* [1992] 1 WLR 446 as follows:
>
> > "…..In the Commercial Court and indeed in any trial court, it is the trial judge who has control of the proceedings. It is part of his duty to identify the crucial issues and to see they are tried as expeditiously and as inexpensively as possible …. Litigants are not entitled to the uncontrolled use of a trial judge's time. Other litigants await their turn."
>
> It would therefore be remiss to refuse summary judgment and refer a matter to trial where there are no real issues for the trial court to decide on simply because a defendant considers as in this case that it wants a day in court."

[55] The court went on further to state that an issue should be referred to trial if it cannot be resolved on the papers filed in the summary judgment application. The issue to be referred to trial must be such that it is material to give a just disposal of the dispute.

[56] In my view, there is no need to refer the issue of the currency of disbursement to trial because I have already alluded to the concession by Mr *Chivenge* that the loan was a United States dollar-denominated loan. On account of SI 118A/2022, regardless of the currency in which the loan was disbursed, the defendants are obliged to repay it in foreign currency, as they in fact were doing at the time, they were servicing the loan. In any event, the plaintiff has confirmed in its founding affidavit that while the loan was denominated in United States dollars, it was disbursed in local currency, so the issue is largely common cause and cannot, by any stretch of imagination, be said to be material to give a just disposal of this dispute.

[57] On the basis of the foregoing, I find the possible defences set up by the defendant not plausible, insincere and disingenuous. The possible defences are inherently and seriously unconvincing giving rise to the inference that they were raised solely for the purpose of delay. If anything,

defendants' conduct in this matter lends credence to the oft-quoted words by MATHONSI J (as he then was) in *Railings Enterprises (Pvt) Ltd t/a Paroan Trucking* v *Dowood Services (Pvt) Ltd t/a Bradfield Motors & 2 Ors* HB 53/16 at p1 that:

> "Some people simply will not settle a debt. No matter how many times the creditor runs around the walls of Jericho the walls remain unshakeable and will simply not fall. So steadfast are they that the debtor would rather spend so much on the legal fees of a very senior counsel defending an unassailable claim all the way to the highest court in the land, even if the legal fees surpass the amount of the debt owed. It is just in their nature that they incur a debt which they have no intention whatsoever of paying back."

[58] The defendants, having taken out a loan from the plaintiff's bank and having paid back some portion of the loan, have employed every tactic in the book to ensure that they do not repay the balance of the loan they expended. Such conduct is inimical to commerce and should be frowned upon. It does not bode well for business and investment in this country.

[59] In the ultimate, I find that the application for summary judgment ought to succeed in respect of both the local currency and foreign currency loans. In relation to costs, I have already alluded to the fact that it was a specific term of the loan agreement that, should litigation be pursued in this case, the plaintiff would be entitled to costs on a legal practitioner and client scale as well as collection commission.

HIGH COURT OF ZIMBABWE
Commercial Division
ISSUED
13 Nov 2025
HARARE
JUDICIAL SERVICE COMMISSION

DISPOSITION

[60] Accordingly, it is ordered that:

1. The application for summary judgment be and is hereby granted.
2. The first, second and third defendants, jointly and severally, one paying the other to be absolved be and are hereby ordered to:
   2.1. Pay the sum of US$303 258.14 to the plaintiff, being an outstanding balance, interest, and charges arising from a term loan agreement concluded by the plaintiff and the first defendant sometime in October 2022, with the second and third defendants standing in as sureties and co-principal debtors with the first defendant.
   2.2. Pay interest on the sum of US$303 258.14 calculated at the rate of 22% per annum from the 25th of June 2025, to date of full payment.
   2.3. Pay the sum of ZWG2 715.56, being an outstanding balance, interest, and charges arising from a term loan agreement concluded by the plaintiff and the first defendant

sometime in December 2019 with the second and third defendants standing in as sureties and co-principal debtors with the first defendant.

2.4. Pay interest on the sum of ZWG2 715.56 calculated at the rate of 60% per annum from the 25th of June 2025, to date of full payment.

3. The following immovable and movable properties be and are hereby declared specially executable: -

3.1. A Certain piece of Land Situate in the District of Inyanga called Lot 1 of Plot 29 of Nyamazi Measuring 200,0017 Hectare held under Deed of Transfer No. 531/19 dated 4 February 2019;

3.2. A Certain piece of Land Situate in the District of Umtali called Stand 9523 of Dangamvura Township of Dangamvura Measuring 4000 square metres held under Deed of Transfer Number 4837/15 dated 4 November 2015;

3.3. A Certain piece of Land Situate in the District of Inyanga called Lot 26A Nyamazi Measuring 90,0033 Hectares held under Deed of Transfer No. 4774/19 dated 23 August 2019;

3.4. Science Laboratory Equipment and;

3.5. Centre Pivot Komit Sprinkler.

4. First, second and third defendants, jointly and severally, one paying to the other to be absolved, are hereby ordered to pay plaintiff's costs of suit at attorney-client scale and collection commission in terms of Law Society of Zimbabwe By-Laws.

MUSHURE J: .....

Dube-Banda, Nzarayapenga & Partners, plaintiff's legal practitioners
Rubaya & Chatambudza, defendants' legal practitioners

HIGH COURT OF ZIMBABWE
Commercial Division
ISSUED
13 Nov 2025
HARARE
JUDICIAL SERVICE COMMISSION